

POSC 3710: European Politics

9/30/2026: WHY DO EUROPE'S WELFARE STATES ENDURE?

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What is France's retirement age today?

In 2023, France passed a law raising its legal retirement age, the earliest age most workers can draw a state pension, from 62 to 64.

A

62

B

62 and 9 months

C

64

D

64 and 9 months

WHY 62 AND 9 MONTHS

Frozen there until January 2028

- In October 2025, France's prime minister, Sébastien Lecornu, offered to suspend the increase to survive two no-confidence votes
- The pause costs about €400 million in 2026 and €1.8 billion in 2027
- The 2027 budget goes to parliament in October...

The United States raised its retirement age too

UNITED STATES, 1983

Full retirement age: 65 to 67

- A bipartisan deal, signed by US President Ronald Reagan
- It started with people born in 1938, who turned 62 in 2000
- It reaches 67 in 2027, for everyone born in 1960 or later
- You can still claim at 62, but not for full amount
- Likely to be revisited by next President

FRANCE, 2023

Legal retirement age: 62 to 64

- Passed without a final vote in the Assembly
- The first increase took effect that September
- Union-led protests: On one day in March, 1.28 million people marched, by the government's count
- Suspended in 2025

Pensions are back in France's budget fight

WHAT IS ON THE TABLE

€54 billion in savings targeted for 2027

- Option 1: freeze some pensions, or raise them by less than inflation. One version reported: base pensions of €2,034 a month or more
- Option 2: shrink the income-tax break retirees get on their pensions
- Parliament will choose between them, or some other option

THE POLITICS

No majority, and a deadline

- Prime Minister Sébastien Lecornu: "No pension will go down," and small pensions will be protected
- Olivier Faure, leader of France's Socialist Party: if nothing changes, his party will vote to bring the government down
- The government presents the budget Thursday, October 1. It must reach the Assembly by Tuesday, October 6

Why might a freeze on some pensions be easier to pass than a higher retirement age?

Opening Discussion

- Does the US have any government programs you think would be politically impossible to abolish? Why?
- What about programs that would be easy to abolish? What is the difference between the two?
- Which would be more noticeable: your taxes go down by \$1000 a year, or a benefit you receive (worth \$1000) goes away?

Everyone Expected Welfare States to Dry Up

- The postwar boom ended in the 1970s
 - Growth rates shrank
 - Stagflation
 - Spending > Growth
- Globalization was supposed to force a race to the bottom
 - What's the story there?
- Populations were aging, so the same arrangements would cost more, and get less paid in, every year
- Right wing (liberal and conservative) governments were elected to reform the welfare state in the 1980s
 - Reagan and Thatcher. So....what happened?

Mostly, a Lot of Nothing

- Eligibility tightened around the edges, some benefits trimmed
 - Public housing sold off in Britain (Right to buy)
- Nowhere in the rich democracies was a welfare state significantly dismantled
- Spending stayed the same or moderately increased
- Big gains in political power for the market oriented right, decline in power for unions. But...an enduring welfare state
- Paul Pierson, an American political scientist, asked why

Building a welfare state != Cutting a welfare state

BUILDING IT (1945-75)

CUTTING IT (1975-)

What the politician wants

Credit for a popular new benefit

Avoid blame for taking something away

Who feels it

Gains are spread widely and arrive over time

Losses are concentrated, immediate, and noticed

Who is organized

Beneficiaries do not exist yet — there is no lobby

Beneficiaries exist, are organized, and lobby

Popular

Sometimes

Rarely

Losses Count More Than Gains

- A cut takes a concrete amount from a specific person
- The tax saving is small, spread over everyone, and often unnoticed
- Lobbying literature says: Concentrated interests organize; diffuse ones do not.
- Pierson adds psychology: people show a negativity bias
 - We are willing to run more risk to avoid a loss than to win

Policies Make Their Own Defenders

- Before a program exists, there is nobody to defend a policy
 - Often nobody to demand it, either
- Once it exists, it creates the constituency that will defend it
- Not only recipients: teachers, social workers and administrators who deliver it
- Pierson calls this policy feedback: the policy becomes the cause of its continued existence
- The welfare state is now the status quo

How might Politicians Avoid Blame?

OBFUSCATION

Make it hard to see, or to trace

- Change an indexation formula rather than a benefit level
- Push the decision to a commission, an agency, or the states
- Generosity declines, but slowly and it's hard to assign blame
- Or seek all-party agreement so no one party can be blamed

DIVISION

Split the people who would otherwise object

- Protect current retirees, cut for future ones
 - Reagan's strategy in the US
- Grandfather the organized workers in and expose the unorganized future workers

COMPENSATION

Pay off the group that can hurt you

- Give something back to the constituency that matters electorally
- France in 2023 offered carve-outs for long careers and hard jobs
- Standard models of globalization; compensate "losers" with income support, job training, etc

The Veto Points Twist

- On Monday, fewer veto points meant a government could act. Here it cuts both ways
- Concentrating authority concentrates blame
- If your government could have stopped the cut, voters know exactly whom to punish
- So a strong executive is better at cutting and worse at surviving having cut
- Sharing power makes cuts harder; monopolizing it makes them costlier

Pierson's Cases

	BRITAIN	UNITED STATES	GERMANY	SWEDEN
Why it should have been easy	A committed Conservative party and Prime Minister, a decade in power, few veto points	Reagan elected to cut, and a welfare state with a narrow base of support	Severe budget pressure after unification	Severe budget pressure in the early 1990s
What happened	Incremental. Public housing sold; the core left intact	Cuts reversed by the second term; reform only by bipartisan commission	Power shared across levels; radical reform never on the table	Concentrated power, but reform still negotiated and gradual
The lesson	Even the strongest case of cuts is a case of continuity	Support for programs rose as soon as cuts were proposed	Power sharing blocks reform	Concentrated power does not make unpopular policy easy

Even Thatcher Couldn't do it

- Margaret Thatcher was British prime minister for eleven years with a large majority
- She had an enormous majority and divided opposition, in a system with fewer checks
 - About as much freedom as a democracy ever gives
- She privatized industry, instituted right to buy, broke the miners strike
- But, she left the National Health Service and the pension system standing

Is He Still Right?

- He wrote in 1996.
- The programs are still there
 - But, what will happen to French Pensions?
 - And Social Security here?
- First: the demographic arithmetic has got much harder
- Second: populist parties fuel anger towards these cuts (see Foster and Frieden reading)

The Arithmetic Gets Harder

- Fewer workers, more retirees, longer retirements
- Javier Díaz Giménez and Julián Díaz Saavedra, two Spanish economists, model Spain
- To fund today's promises indefinitely they find VAT would have to rise about nine points
- Their alternative is a package: tie pensions to life expectancy, use whole careers, adjust generosity automatically
- Their political point: delay only guarantees a more unpopular tax rise later
 - But, if you're only going to be PM for ~5 years – do you care?

Britain's prime minister takes on the triple lock

WHAT HE ANNOUNCED

A new rule from April 2030

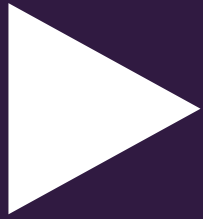
- Since 2011 the state pension has risen each April by the highest of earnings growth, inflation or 2.5%: the triple lock
 - This is entirely unsustainable
- Prime Minister Andy Burnham keeps it until the next election
- From April 2030: at least inflation or 2.5% a year, and in line with earnings over time
- The savings, about £15 billion a year by the late 2030s, pay for a National Care Service with no care charges on the state pension

THE REACTION

Keep the triple lock

- The Conservatives and Reform UK, the populist right, both say they would keep it
 - Is this credible?
- In a BMG poll, 53% want to keep the triple lock and 13% want it gone
- The next general election is due by 2029, before the change starts

Burnham on the triple lock, 29 September 2026



Click to play

Labour Party conference, Liverpool, Tuesday 29 September 2026

youtube.com/watch?v=3Hvwpavwu4Y

FROM THE SPEECH

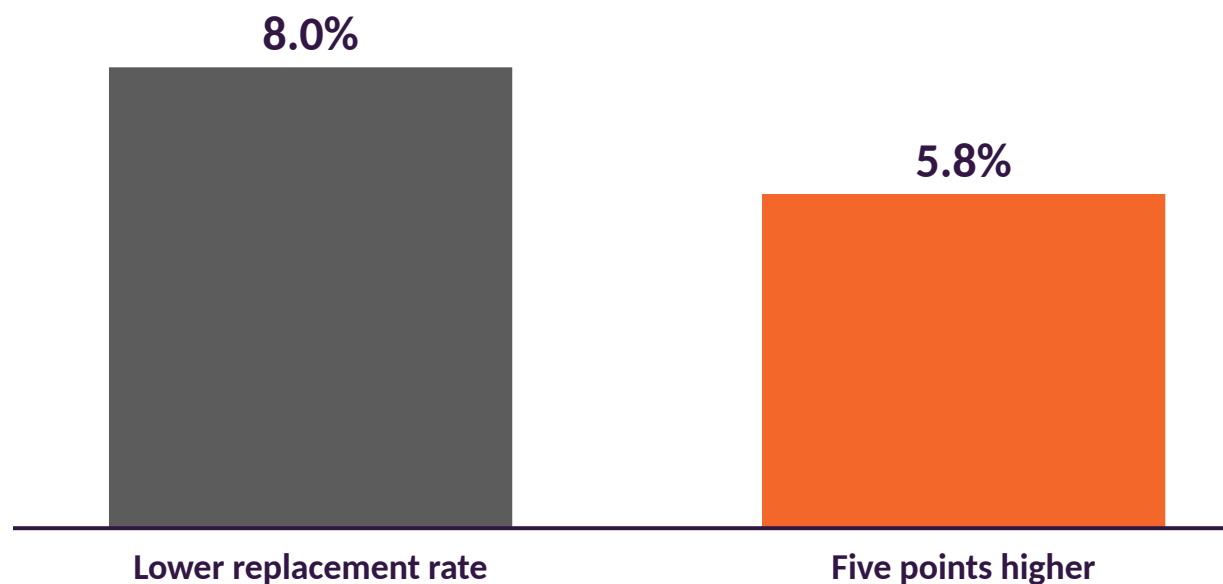
- “I accept I may pay a political price.”
- “From there, in April 2030, we will adjust it. The state pension will continue to rise every year at least by prices or 2.5%.”
- “So this is the deal. A state pension that rises every year. No care charges.”

Quotes are from the published text of the speech.

And If You Cut Anyway?

- Chase Foster and Jeffry Frieden, two American political economists, ask the next question
- what happens to the vote when governments cut
- The compensation hypothesis: programs that cushion economic shocks reduce the backlash
- Take the cushion away and voters go populist
- Sixteen Western European countries, 1990 to 2021

Predicted probability of voting populist, by unemployment insurance generosity



THE STUDY

- 16 Western European countries
- 134 parliamentary elections, 1990–2021
- Over 109,000 survey respondents
- Effect is strongest among the unemployed and union members
- It survives controlling for views on immigration

Putting It Together

- Pierson: cutting is electorally dangerous, so governments mostly do not
- Díaz Giménez and Díaz Saavedra: the arithmetic means something has to give
- Foster and Frieden: cutting has a political price
- Put together, that is a political trap
 - No obvious answer
- Figuring out how to maintain welfare state without going bankrupt is one of Europe's biggest 21st century issues

Next

- Monday: presidents, parliaments and executives
 - Who makes the final calls
- We will dig further into France, which has a fairly unique semi-presidential system
- Manifestos are due Wednesday and the campaign begins
 - We will look at contemporary party families and politics in Unit 3